

3.1.3 Production and Efficiency

**Specialisation,
Division of Labour and
Exchange**

Candidates should understand the benefits of specialisation and why specialisation necessitates an efficient means of exchanging goods and services, such as the use of money as a medium of exchange.

Production

Candidates should understand that production converts inputs, or the services of factors of production such as capital and labour, into final output.

Candidates should understand the meaning of productivity (including labour productivity).

Candidates should understand the meaning of productive efficiency. They should be able to illustrate the concept both on a production possibility diagram, and on an average cost curve diagram.

*Note: candidates are **not** expected to know the distinction between short-run and long-run cost curves at AS or explanations of the shape of cost curves. Candidates do **not** need to know about types of efficiency, apart from productive efficiency. However, candidates must understand that the decisions of individuals, producers and government can, under certain circumstances, improve resource allocation, but that in other circumstances resource misallocation can result.*

Economies and Diseconomies of Scale

Candidates should be able to categorise and give examples of economies of scale, recognise that they lead to lower average costs and may underlie the development of monopolies. Candidates should be able to give examples of diseconomies of scale, and recognise that they lead to higher average costs and may discourage the growth of firms.